

Merger Agreement: Key Terms Summary for the Integration Team

Summary of the agreement announced on 12 October 2015 under which Dell Inc. acquires EMC Corporation. This is a summary prepared for integration planning only. The executed agreement and the filings made with the securities regulator govern in every case of doubt.

Document	Merger agreement key terms summary, integration extract
Transaction	Dell Inc. acquires EMC Corporation, combined as Dell Technologies
Announced	12 October 2015
Expected close	7 September 2016 (actual close, confirmed)
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Reviewed by	Legal and M&A;
Distribution	Programme leadership and workstream leads only. Not for onward distribution
Classification	Strictly confidential
Version and status	v1.0, final

1. Parties and transaction structure

Acquirer	Dell Inc.
Target	EMC Corporation
Combined entity	Dell Technologies
Transaction value	USD 58 billion, reported at announcement with a headline figure of USD 67 billion depending on the measure used
Structure	Cash and stock. Target shareholders receive cash plus a tracking stock linked to a portion of the target's economic interest in its majority-owned virtualisation subsidiary
Family of businesses after close	Dell client solutions, Dell EMC infrastructure solutions, Dell EMC Services, Boomi, Pivotal, RSA, SecureWorks, Virtustream, VMware

2. Consideration

Item	Term	Value	Consequence for the integration team
Cash consideration	Per target share	USD 24.05	Fixes the equity bridge input to the opening balance sheet, M-04
Tracking stock	Per target share	0.11146 tracking shares	Creates a separate reporting requirement that the finance workstream must design for from Day 1
Committed debt financing	Facility commitment	USD 49.5 billion	Debt service constrains discretionary integration spend, recorded as risk R-11
Combined revenue at close	Reported scale	USD 74 billion	Sets the denominator for every synergy percentage reported to the committee

3. Conditions precedent and closing

ID	Condition precedent	Responsible	Status at close	Satisfied on
CP-01	Target shareholder approval	Target	Satisfied	Pre-close
CP-02	Antitrust and merger control clearances in all required jurisdictions	Both parties	Satisfied	Pre-close
CP-03	Regulatory approvals for the tracking stock listing	Acquirer	Satisfied	Pre-close
CP-04	Availability of the committed debt financing	Acquirer	Satisfied	Pre-close
CP-05	No material adverse change	Both parties	Satisfied	7 September 2016

4. Signing to closing covenants

These restricted what could be done in the eleven months between announcement and close. They have now lapsed, but the integration plan was built under them and several sequencing choices still reflect that.

Covenant	Restriction	Lapsed at	Effect still visible in the plan
Ordinary course of business	Target to operate its business as before and not to make material commitments outside the ordinary course	7 September 2016	The legacy ERP upgrade at the target continued as an ordinary course programme and was therefore not stopped before close, which is the origin of risk R-01
Clean team and information exchange	Competitively sensitive information exchanged only through a clean team	7 September 2016	The combined spend cube could only be built after close, which is why procurement synergies are still at business case stage
No solicitation of employees	Neither party to solicit the other's employees	7 September 2016	Retention design could not begin until close, compressing the window before the coverage model takes effect

5. Terms with direct integration relevance

Each item below constrains integration planning directly and is reflected in the plan as shown.

Topic	Term	Owning workstream	Reflected in the plan as
Employee protections	Continuity of terms for a defined period after close in specified jurisdictions	WS4 Human Capital	Milestone M-09, task A-032, risk R-04
Co-determination and consultation	Local consultation obligations survive the transaction and must be discharged before structural change	WS4 Human Capital	Milestone M-13, task A-033, risk R-02, decision B-05
Brand and name usage	Combined brand launched at close, target brand retained for the infrastructure business	WS6 Go-to-Market	Milestone M-01, task A-063
Customer and supplier consents	Change of control consents required under a defined set of contracts	WS5 Supply Chain	Assumption AS-04, task A-043
Pension obligations	Target pension arrangements transfer with the business	WS1 Finance	Risk R-13, action OP-09
Legacy systems	Target's enterprise system modernisation continues as an ordinary course programme	WS3 IT	Risk R-01, milestone M-07, decision B-04
Legal entity structure	Post-close rationalisation permitted subject to local law and tax clearance	WS2 Tax	Milestone M-05, task A-011, dependency D-01

6. Key dates

Event	Date	Significance
Announcement	12 October 2015	Start of the eleven-month journey to close
Close, Day 1	7 September 2016	Legal transfer, brand launch, employee and sales enablement live
Day 30	7 October 2016	Opening balance sheet, entity plan, ERP blueprint gate
Flagship customer event	18 October 2016	External fixed date, cannot move, forces the portfolio milestones
Day 100	16 December 2016	Value realisation review to the sponsor, a fixed commitment

7. Distribution and confidentiality

Named recipients only. This summary contains an interpretation of contractual terms prepared for planning purposes and is not legal advice. Any question about the meaning or effect of a term goes to Legal before it is acted on.

Sources for the case anchoring

- EMC Corp, Form 8-K Exhibit 99.1, filed 7 September 2016 (SEC EDGAR)
- Deloitte Global, 'Dell, EMC, and Deloitte create the next tech icon: a technology M&A; case study', deloitte.com
- Dell Technologies press release, 7 September 2016

Synthetic document. The case anchoring, meaning the entities, the transaction value, the close date, the governance structure and the workstream cut, follows publicly available sources listed at the end. All operational names, figures, risks, decisions and synergy values are invented, internally consistent, and are not a representation of what any party actually did.